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VENTURE CAPITAL

US VC direct secondary market is swelling

By [Michael Bodley](#)

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The market for [venture capital direct secondary transactions](#) in the US is swelling, according to [new PitchBook research](#).

In Q1 2025, the average premium was 6% while the median was 3%. Both had been negative since 2022. A depressed primary venture market and ensuing sluggish secondary activity had entrenched deep discounts for more than two years.

US VC direct secondary deal value is on the rise

The secondary market is outpacing a sluggish rate for US public listings this year



Source: [PitchBook’s Q1 2025 US VC Secondary Market Watch](#)
As of March 31, 2025

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Tariffs have since roiled the markets, leaving LPs looking for liquidity and [triggering more secondary sales](#). Startup secondary sales more recently have been marked down 30% to 60% from their last valuation, according to the report.

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PitchBook’s latest midpoint estimate for the size of the market is \$60 billion, up from \$50 billion in 2024. It’s calculated based on transaction volume and available secondary stakes. This increase is largely attributable to “ballooning valuations from top unicorns,” according to the report.

However, current sellers of equity in unicorns and other highly prized startups aren't expected to take a haircut on their secondary sales. That's because [top names still command a premium](#) as investors continue to flee to quality, according to the research.

"Any market volatility spooks venture," said Emily Zheng, a senior research analyst for venture capital at PitchBook. "So as the volatility continues, and until policies are more certain, investors will become more cautious, and the concentration that we're seeing on the secondary market is just going to increase."

More broadly in the secondaries market, inflows to VC-focused funds have doubled since 2022, according to the report. [Sizable tender offers from the likes of the fintechs Ramp and Stripe](#) have also spurred secondary activity.

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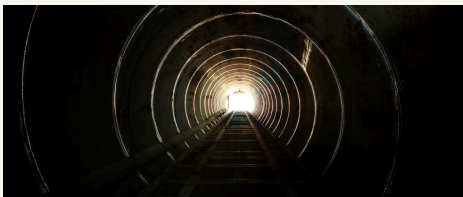
Michael Bodley is a senior venture capital reporter at PitchBook News, covering top fund managers and developments affecting limited partners. Based in New York, Michael previously led TheStreet.com's crypto coverage. He also reported for Hedge Fund Alert after breaking into journalism at the San Francisco Chronicle. Originally from Baltimore, Michael graduated from Elon University.

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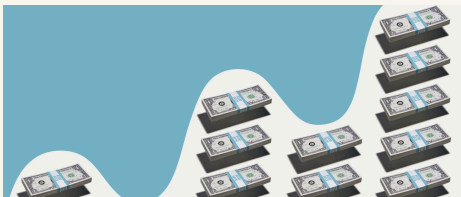
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